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Our ref: KP1/2/14/1

Your ref:

21st February 2019

Mr. Geoffrey Odundo
Chief Executive
Nairobi Securities Exchange
P.O. Box 43633
NAIROBI

Mr. Paul Muthaura
Chief Executive
Capital Markets Authority
P.O. Box 74800
NAIROBI

Dear Sirs,

HALF YEAR TRADING RESULTS FOR PERIOD ENDED 31ST DECEMBER 2018

Enclosed herewith please find a copy of the summary of the Trading Results and the detailed Unaudited Financial Statements (pages 3-20) of the Company for the period ended 31st December 2018. These were approved by our Board at its meeting held today, 21st February 2019. The summary of the Trading Results will appear in the press on Friday 22nd February 2019.

Yours faithfully,

For: THE KENYA POWER & LIGHTING COMPANY LTD

IMELDA BORE

Ag. GENERAL MANAGER, CORPORATE AFFAIRS & COMPANY SECRETARY

THE KENYA POWER AND LIGHTING COMPANY LIMITED
UNAUDITED TRADING RESULTS FOR SIX MONTHS PERIOD
ENDED 31 DECEMBER 2018

The Directors are pleased to announce the unaudited trading results of the Company for six months' period ending 31 December 2018 as follows:

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	31.12.2018	31.12.2017	30.06.2018
	Shs. Million	Shs. Million	Shs. Million
Revenue			
Electricity Sales	56,952	46,931	95,463
Foreign Exchange adjustment	810	4,492	9,322
Fuel cost charge	7,678	11,637	21,069
Other operating income	3,932	4,043	8,670
Total Revenue	69,372	67,103	134,524
Operating Expenditure			
Power purchase costs (non-fuel)	(32,599)	(27,429)	(52,795)
Foreign exchange costs	(523)	(3,793)	(7,714)
Fuel costs	(6,887)	(12,294)	(23,591)
Transmission & distribution costs	(21,708)	(15,814)	(39,628)
Total Operating Costs	(61,717)	(59,330)	(123,728)
Operating Profit	7,655	7,773	10,796
Finance income	63	52	100
Finance costs	(4,024)	(3,257)	(7,807)
Profit Before Tax	3,694	4,568	3,089
Income tax expense	(1,236)	(1,641)	(1,171)
Profit for the year	2,458	2,927	1,918
Basic and diluted earnings per Share	Shs.1.26	Shs.1.50	Shs.0.98

STATEMENT OF FINANCIAL POSITION

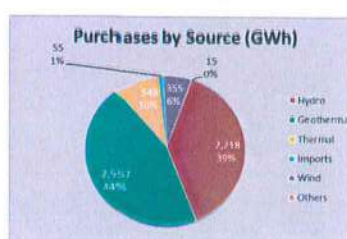
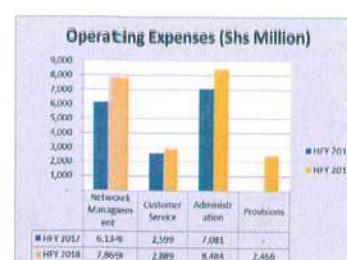
	31.12.2018	31.12.2017	30.06.2018
	Shs. Million	Shs. Million	Shs. Million
Assets			
Property and equipment	276,666	271,955	274,190
Other non-current assets	6,622	5,919	7,845
Current assets	55,126	72,565	54,620
	338,414	350,439	336,655
Equity and Liabilities			
Shareholders' Equity	66,665	65,286	64,207
Non-current liabilities	166,621	191,573	166,190
Current liabilities	105,128	93,580	106,258
	338,414	350,439	336,655

STATEMENT OF CASH FLOWS

	31.12.2018	31.12.2017	30.06.2018
	Shs. Million	Shs. Million	Shs. Million
Cash generated from operating activities	13,177	9,927	28,086
Net Cash used in investing activities	(11,323)	(14,159)	(27,733)
Net Cash generated from financing activities	1,523	(2,361)	(6,806)
Increase in cash and cash equivalents	3,377	(6,593)	(6,453)
Cash and cash equivalents at beginning of period	(7,603)	(1,150)	(1,150)
Cash and cash equivalents at end of period	(4,226)	(7,743)	(7,603)

Key highlights for the half year ended 31 December 2018

- Electricity sales grew by 21.3% to Shs. 56,952 million from Shs. 46,931 million as at 31st December 2017.
- Units purchased increased by 9% to 5,324 GWh for the half year period from 4,882 GWh as at 31 December 2017.
- Unit sales increased by 5.5% from 3,893 GWh as at 31 December 2017 to 4,106 GWh as at 31 December 2018.
- The non - fuel power purchase costs increased by 18.8% to Shs. 32,599 million for the period ended 31 December 2018.
- Fuel cost decreased by 44% from Shs 12,294 million to Shs. 6,887 million for the period ended 31 December 2018.
- Transmission and distribution costs increased by 37.3% to Shs 21,708 million from Shs. 15,814 million for the period ended 31 December 2017 due to costs associated with the expanded network.
- Finance costs increased by 23.5% to Shs. 4,024 million from Shs. 3,257 million for the period ended 31 December 2017.



Profit after Tax

The Company recorded a net profit after tax of Shs. 2,458 million for the period compared to Shs. 2,927 million realised the previous period.

Dividend

The Directors do not recommend payment of interim dividend for the period.

FUTURE PROSPECTS

The Company continues to undertake initiatives to improve customer satisfaction, enhance efficiency in business operations and grow our revenue. In line with our corporate strategy, we are transforming customer experience by improving operations at customer touch points, simplifying processes for efficient service delivery and embedding positive organizational culture.

Access to electricity transforms lives and communities. Additionally, it is also an enabler of the overall economic growth. The Company is committed to improving the socio-economic lives of Kenyans by improving access to electricity and enhancing the quality of electricity it supplies to support all levels of the economy from households, to small and medium enterprises, to commercial and industrial consumers.

BY ORDER OF THE BOARD

Eng. JARED OTHIENO
Ag. MANAGING DIRECTOR & CEO
February 21, 2019

THE KENYA POWER & LIGHTING COMPANY LIMITED

HALF-YEAR FINANCIAL STATEMENTS

31ST DECEMBER 2018

THE KENYA POWER & LIGHTING COMPANY LIMITED
FINANCIAL STATEMENTS FOR SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018

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THE KENYA POWER & LIGHTING COMPANY LIMITED

REPORT OF THE DIRECTORS

The Directors submit the unaudited interim financial statements for the six months period ended 31st December 2018.

ACTIVITIES

The core business of the Company continues to be the transmission, distribution and retail of electricity purchased in bulk from The Kenya Electricity Generating Company Limited (KenGen), Independent Power Producers (IPPs), Uganda Electricity Transmission Company (UETC) and Tanzania Electric Supply Company Limited (TANESCO).

RESULTS

	Shs'000
Profit before Taxation	3,694,146
Taxation charge	(1,236,552)
Profit for the Period	<u>2,457,594</u>

DIVIDENDS

The Directors recommend no payment of interim dividend for the period.

THE KENYA POWER & LIGHTING COMPANY LIMITED
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE SIX
MONTHS PERIOD ENDED 31ST DECEMBER 2018

		31.12.2018	31.12.2017
Revenue	Note	Shs' 000	Shs' 000
Electricity Sales		56,952,325	46,931,016
Foreign Exchange adjustment		810,205	4,492,368
Fuel cost adjustment		<u>7,678,206</u>	<u>11,636,804</u>
		<u>65,440,736</u>	<u>63,060,188</u>
Power Purchase Costs			
Non Fuel Power Purchase Costs	3 (a)	(32,598,774)	(27,428,803)
Foreign exchange costs	3 (a)	(523,208)	(3,793,274)
Fuel Costs	3 (b)	<u>(6,887,136)</u>	<u>(12,293,688)</u>
		<u>(40,009,118)</u>	<u>(43,515,765)</u>
Gross profit		25,431,618	19,544,423
Net operating expenses			
Network Management	4 (a)	(7,868,544)	(6,134,177)
Customer service	4(b)	(5,354,943)	(2,599,464)
Administration	4 (c)	<u>(8,484,309)</u>	<u>(7,080,858)</u>
		<u>(21,707,796)</u>	<u>(15,814,499)</u>
Operating income		3,723,822	3,729,924
Other operating Income	2	<u>3,931,687</u>	<u>4,043,412</u>
OPERATING PROFIT	5	7,655,509	7,773,336
Finance income	6	63,115	52,279
Finance costs	6	<u>(4,024,478)</u>	<u>(3,256,688)</u>
Profit before tax		3,694,146	4,568,927
Income Tax expense	8	<u>(1,236,552)</u>	<u>(1,641,001)</u>
PROFIT AFTER TAX		<u>2,457,594</u>	<u>2,927,926</u>
Basic and diluted earnings Per Share	9	<u>Shs.1.26</u>	<u>Shs.1.50</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 31ST DECEMBER 2018

		31.12.2018	31.12.2017	30.06.2018
		Shs' 000	Restated Shs' 000	Shs' 000
ASSETS	Note			
Non Current Assets				
Property and Equipment	10	275,884,106	271,086,822	273,376,882
Operating lease prepayments	11	781,596	868,435	813,423
Intangible assets	12	4,007,076	3,386,926	3,842,816
Retirement benefit asset		2,615,129	2,531,782	2,615,129
Trade and other receivables		-	-	1,386,758
		<u>283,287,907</u>	<u>277,873,965</u>	<u>282,035,008</u>
Current Assets				
Inventories	13	10,301,973	10,111,733	9,745,385
Trade and Other Receivables	14	41,278,816	58,807,463	39,605,767
Current income tax	8 (c)	182	-	-
Short term deposits	20 (c)	599,501	614,165	491,991
Bank and Cash Balances	20(c)	2,945,386	3,032,009	4,777,038
		<u>55,125,858</u>	<u>72,565,370</u>	<u>54,620,181</u>
TOTAL ASSETS		<u>338,413,765</u>	<u>350,439,335</u>	<u>336,655,189</u>
EQUITY AND LIABILITIES				
CAPITAL AND RESERVES				
Ordinary Share Capital	15	4,878,667	4,878,667	4,878,667
Share premium		22,021,219	22,021,219	22,021,219
Reserves	18	39,765,097	38,385,923	37,307,503
Total Equity		<u>66,664,983</u>	<u>65,285,809</u>	<u>64,207,389</u>
Non Current Liabilities				
Deferred income tax		30,852,321	34,032,546	29,694,493
Deferred Income		14,725,066	17,869,370	16,999,103
Trade and Other Payables	19(a)	21,936,508	30,101,213	22,524,358
Borrowings	16	99,064,097	109,527,303	96,929,050
Preference Shares	17	43,000	43,000	43,000
		<u>166,620,992</u>	<u>191,573,432</u>	<u>166,190,004</u>
Current Liabilities				
Trade and Other Payables	19(b)	74,563,742	66,195,421	71,249,076
Current income tax	8 (c)	-	16,562	23,777
Deferred Income		4,702,427	4,434,972	4,702,427
Leave Pay Provision		448,000	346,903	448,000
Borrowings	16	16,805,930	9,863,700	16,100,334
Dividends Payable		836,436	1,333,612	862,007
Overdraft		7,771,255	11,388,924	12,872,175
		<u>105,127,790</u>	<u>93,580,094</u>	<u>106,257,796</u>
TOTAL EQUITY AND LIABILITIES		<u>338,413,795</u>	<u>350,439,335</u>	<u>336,655,189</u>

The financial statements on pages 3 to 20 were approved for release by the Board of Directors on 21.02.2019 and were signed on its behalf by:

Amb (Eng.) Mahboub Maalim Chairman, Board

Mr. Kairo Thuo Director

Eng. Jared Othieno Ag. Managing Director & CEO

THE KENYA POWER & LIGHTING COMPANY LIMITED
STATEMENT OF CHANGES IN EQUITY FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018.

	Ordinary Share Capital Shs' 000	Share premium Shs' 000	Retained earnings Shs' 000	Total Shs' 000
At 1 July 2017(Restated)	4,878,667	22,021,219	36,433,731	63,333,617
Profit for the six months	-	-	2,927,926	2,927,926
Dividends paid-2017	-	-	(975,734)	(975,734)
At 31 December 2017 as Restated	<u>4,878,667</u>	<u>22,021,219</u>	<u>38,385,923</u>	<u>65,285,809</u>
At 1 July 2018	4,878,667	22,021,219	37,307,503	64,207,389
Profit for the six months	-	-	2,457,594	2,457,594
Dividends paid-2018	-	-	-	-
At 31 December 2018	<u>4,878,667</u>	<u>22,021,219</u>	<u>39,765,097</u>	<u>66,664,983</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
STATEMENT OF CHANGES OF CASH FLOWS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018

	Note	Six months up to 31.12.2018 Shs'000	Six months up to 31.12.2017 Shs'000
OPERATING ACTIVITIES			
Cash generated from operations	20(a)	16,769,442	14,128,231
Interest received	20(f)	49,290	48,405
Interest paid	20(d)	(3,539,278)	(4,229,649)
Net taxation paid	8(d)	(102,683)	(19,708)
Cash generated from operating activities		<u>13,176,771</u>	<u>9,927,279</u>
INVESTING ACTIVITIES			
Additions to property, plant and equipment	20(e)	(10,575,854)	(12,867,018)
Purchase of intangible asset	12	(777,968)	(1,306,850)
Proceeds from disposal of property, plant and equipment		<u>30,473</u>	<u>15,029</u>
Net cash used in investing activities		<u>(11,323,349)</u>	<u>(14,158,839)</u>
FINANCING ACTIVITIES			
Proceeds from borrowings	20(b)	7,659,863	1,917,680
Repayment of borrowings	20(b)	(6,110,936)	(4,273,499)
Dividends paid	20(d)	(25,571)	(4,961)
Net cash from financing activities		<u>1,523,356</u>	<u>(2,360,780)</u>
INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS		<u>3,376,778</u>	<u>(6,592,340)</u>
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE PERIOD		<u>(7,603,146)</u>	<u>(1,150,410)</u>
CASH AND CASH EQUIVALENTS AT END OF THE PERIOD	20 (c)	<u>(4,226,368)</u>	<u>(7,742,750)</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018.

I ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) and Companies Act Cap 486 of the Laws of Kenya. The principal accounting policies adopted remain unchanged from the previous period and are set below:

BASIS OF ACCOUNTING

The financial statements have been prepared on a historical cost basis, except for the measurement at revaluation amounts of certain property and equipment.

REVENUE

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. Revenue is recognised at the fair value of consideration received or receivable taking into account contractually defined terms of payment and excluding taxes or duty.

INTEREST

Interest payable and receivable are recognised on an accrual basis. Loan interest accruing during the construction of a project is capitalised as part of the cost of the project.

INVENTORIES

Inventories are stated at the lower of cost and net realisable value after due regard for obsolete and slow moving stocks. The cost of inventories comprises purchase price, import duties, transport and handling charges and is determined on a weighted average price.

PROPERTY, PLANT AND EQUIPMENT AND DEPRECIATION

All property and equipment is stated at cost less accumulated depreciation and accumulated impairment losses. Such costs include the cost of replacing part of the property and equipment when that cost is incurred, if the recognition criteria are met.

No depreciation is provided on freehold land. Depreciation on other assets is calculated to write down their cost or valuation to their residual values, on a straight-line basis, over their expected useful lives. The depreciation rates used are as follows:

Buildings	The greater of 2% and the unexpired period of the lease
Transmission and Distribution lines	2.5 – 20%
Plant and Machinery	2.85 – 6.66%
Motor vehicles	25%
Furniture, equipment and fittings	6.66 – 20%
Computers and photocopiers	30%

TAXATION

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current taxation is based on taxable profit for the period. Taxable profit differs from profit as reported in the financial statements because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Company's tax liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018 (continued)

1 ACCOUNTING POLICIES (Continued)

FOREIGN CURRENCIES

The financial statements are presented in Kenya shillings, which is the Company's functional and presentation currency. Transactions during the period are translated at the rates of exchange ruling at the dates of the transactions. Assets and liabilities denominated in foreign currencies are translated into Kenya shillings at the rates of exchange ruling at the balance sheet date. Exchange gains and losses arising during the period of construction of a project are capitalised as part of the cost of the project. Other exchange gains and losses are dealt with in the statement of comprehensive income.

RETIREMENT BENEFIT OBLIGATIONS

The Company employees are eligible for retirement benefits under a defined contribution scheme from 1 July 2006 and make contributions to the statutory fund, the National Social Security Fund. Payments by the Company to the defined contribution scheme are charged to income statement as incurred.

2 OTHER OPERATING INCOME

	31.12.2018	31.12.2017
	KShs'000	KShs'000
Reconnection charges	86,657	44,503
Rent receivable	51,382	103,728
Fibre optic lease charges	276,329	235,088
Miscellaneous sales	100,547	96,919
Deferred Income	3,274,643	3,441,022
Other Revenues	142,129	122,152
	<u>3,931,687</u>	<u>4,043,412</u>

3 POWER PURCHASE COSTS

(a) Non Fuel Power Purchase Costs

The power purchases were sourced from the following companies:

Kenya Electricity Generating Company Limited (KenGen)	18,594,225	18,575,960
Tsavo Power Company Limited	1,146,666	1,163,869
Iberafrika Power (E.A) Company Limited	1,486,799	1,641,469
Orpower 4 Inc	6,150,343	5,767,198
Uganda Electricity Transmission Company Limited	384,133	1,477,878
Tanzania Electric Supply Company Limited	26	12
Rabai Power Limited	1,206,958	1,511,536
Imenti Tea Factory	1,212	429
Ethiopia Electricity Power Company	117	16,607
Thika Power Limited	1,052,318	1,213,501
Power Technology Solutions Limited	7,309	7,360
Gulf Power Limited	1,028,508	1,109,931
Triumph Power Generating Co. Limited	1,279,480	752,473
Regen-Terem	151,837	101,288
Chania	2,275	1,668
Gura	36,133	58,188
Biojoule Kenya Limited	1,497	1,367
Lake Turkana	<u>3,249,778</u>	-
	35,779,614	33,400,734
Foreign Exchange Surcharge	<u>(523,208)</u>	<u>(3,793,274)</u>
	35,256,406	29,607,460
Recharge to Rural Electrification schemes	<u>(2,657,632)</u>	<u>(2,178,657)</u>
	<u>32,598,774</u>	<u>27,428,803</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018(continued)

3. POWER PURCHASE COSTS (continued)

(b) Fuel Costs

	31.12.2018	31.12.2017
	KShs'000	KShs'000
Kenya Electricity Generating Company Limited (KenGen)	4,084,607	4,776,569
Aggreko	-	-
Tsavo Power Company Limited	980,137	939,912
Uganda Electricity Transmission Company Limited	856,819	536,253
Iberafrica Power (E.A) Company Limited	403,070	1,566,482
Rabai Power Limited	301,349	2,768,646
Thika Power Limited	320,773	1,674,227
Gulf Power Limited	345,866	863,890
Triumph Power Generating Co. Limited	48,549	144,191
Off Grid Stations	898,685	693,609
	8,239,855	13,963,779
Recharge to Rural Electrification schemes	(1,352,719)	(1,670,091)
	<u>6,887,136</u>	<u>12,293,688</u>

(c) Units Purchased

Interconnected power purchases by utility source is analysed as follows in gigawatt-hours (GWh)

	31.12.2018	31.12.2017
	GWh	GWh
Kenya Electricity Generating Company Limited (KenGen)	4,450	3,826
Tsavo Power Company Limited	86	91
Iberafrica Power (E.A) Company Limited	31	134
Orpower 4 Inc	657	577
Imports from Uganda	56	94
Imports from Tanzania	-	-
Rabai Power Ltd	26	307
Thika Power	27	125
Imenti Tea Factory Co. Ltd*	-	-
Ethiopia Electricity Power Company	-	2
Gulf Power Ltd	24	62
Gikira Power Technology Solutions Ltd	1	1
Triumph Power Generating Co. Limited	4	9
Biojoule Kenya Limited	-	-
REGEN-TEREM	16	10
GURA	4	7
Strathmore	-	-
Chania	-	-
Lake Turkana Wind Power	325	-
Garissa Solar Power Plant	14	-
Off-grid power stations	<u>27</u>	<u>23</u>
	5,748	5,268
Less Off-grid Power stations	(27)	(23)
Less RES-Interconnected	<u>(397)</u>	<u>(363)</u>
	<u>5,324</u>	<u>4,882</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018 (continued)

*Imenti Tea Factory Co. Ltd supplied KWh 199,750 during the period (2017: KWh 69,165), TANESCO supplied KWh 3,490 during the period (2017: 928) Biojoule Biogas supplied KWh 145,644 (2017: KWh 131,365), Chania Power Company KWh 132,940 (2017: 457,955) and Strathmore KWh 72,186(2017: Nil).

(d) Type of Interconnected Power Sources

The interconnected power sources by type of generation are analysed as follows in gigawatt-hours (GWh):

	31.12.2018	31.12.2017
	GWh	GWh
Hydro	2,218	1,456
Geothermal	2,557	2,483
Thermal	548	1,206
Imports	55	96
Wind	355	27
Others	15	-
	5,748	5,268
Less Off-grid Power stations	(27)	(23)
Less supplied to Rural Electrification customers	(397)	(363)
	<u>5,324</u>	<u>4,882</u>

4. OTHER OPERATING COSTS

	31.12.2018	31.12.2017
	Shs'000	Shs'000
(a) Network Management		
Staff costs	2,914,496	2,282,363
Other consumable goods	529,211	39,333
Staff welfare	18,753	91,678
Transport	(164,663)	(423,328)
Travelling	541,774	205,241
Depreciation	5,236,430	4,821,651
Ketraco Wheeling Charge	1,224,722	1,005,500
Other office expenses	285,251	684,047
Net recharged to Rural Electrification Programme	(2,717,430)	(2,572,308)
	<u>7,868,544</u>	<u>6,134,177</u>
(b) Customer Service		
	31.12.2018	31.12.2017
	Shs'000	Shs'000
Staff costs	1,438,632	1,522,409
Staff welfare	1,849	56,553
Transport	299,848	32,345
Travelling	91,099	93,710
Depreciation	2,061,714	1,762,286
Provision for electricity debtors	1,326,000	-
Provision for non- vending customers	1,140,000	-
Other office expenses	36,087	30,029
Net recharged to Rural Electrification Programme	(1,040,286)	(897,868)
	<u>5,354,943</u>	<u>2,599,464</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018 (continued)

	31.12.2018 Shs'000	31.12.2017 Shs'000
(c) Administration		
Staff costs	4,039,449	3,814,309
Staff welfare	427,652	315,133
Transport & Travelling	466,222	591,222
Training expenses and commercial services	-	44,903
Repairs and maintenance	499,219	316,944
Depreciation	419,502	107,733
Amortization of intangible assets and operating lease prepayment	627,591	452,787
Office expenses	253,645	256,845
Postage and telegrams	2,527	2,300
Security and surveillance	332,683	259,054
Consultancy fees	18,158	34,450
Insurance	401,467	177,907
Bank charges	122,752	291,134
Advertising and Public Relations	82,868	162,579
Unrealised exchange differences	786,532	-
Other costs	557,257	648,586
Net charged to Rural Electrification Programme	<u>(553,215)</u>	<u>(395,028)</u>
	<u>8,484,309</u>	<u>7,080,858</u>

5. OPERATING PROFIT

The operating profit is arrived at after charging/ (crediting):

Staff costs (Note 7)	8,392,577	7,619,081
Directors' emoluments - fees	4,780	3,854
- other	13,940	9,950
Depreciation	7,717,646	6,631,050
Amortisation	627,591	452,787
Loss on retirement of transformers	338,436	240,018
Rent payable	197,365	216,580
Rent receivable	<u>(51,382)</u>	<u>(103,728)</u>
	=====	=====

6. FINANCE INCOME/ (COSTS)

FINANCE INCOME

Interest income on bank and other deposits	<u>63,115</u>	<u>52,279</u>
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FINANCE COSTS

Interest incurred:

On loans	(3,466,496)	(2,629,943)
On bank overdrafts	<u>(557,982)</u>	<u>(626,745)</u>
Total finance costs	<u>(4,024,478)</u>	<u>(3,256,688)</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018 (continued)

7. STAFF COSTS

	31.12.2018	31.12.2017
	Shs'000	Shs'000
Salaries and wages	7,927,418	7,178,369
National Social Security Fund	13,261	13,791
Pension costs – defined contribution plan	451,898	426,921
	<u>8,392,577</u>	<u>7,619,081</u>

8. TAXATION

	31.12.2018	31.12.2017
	Shs'000	Shs'000
(a) Current taxation		
Based on the adjusted profit/(loss) for the period	-	-
Deferred taxation charge	1,157,828	1,560,393
Corporation tax prior year under- provision	-	-
Income tax separate sources – current year	<u>78,724</u>	<u>80,608</u>
	<u>1,236,552</u>	<u>1,641,001</u>
(b) Reconciliation of tax expense to the expected tax based on accounting profit:		
Profit before taxation	3,694,146	4,568,926
	=====	=====
Tax at the applicable tax rate of 30%	1,108,244	1,370,678
Tax effect of expenses not deductible for tax purposes	49,584	189,715
Income tax separate sources – current year	<u>78,724</u>	<u>80,608</u>
Tax Charge	<u>1,236,552</u>	<u>1,641,001</u>
(c) Statement of Financial position- Tax (payable)/ recoverable		
At the beginning of the year	(23,777)	44,358
Paid during the year	102,683	19,708
Income tax separate sources – current year	<u>(78,724)</u>	<u>(80,608)</u>
	<u>182</u>	<u>(16,542)</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018(continued)

9. EARNINGS PER ORDINARY SHARE

The calculation of basic earnings per share is based on the profit after tax of KShs. 2,457,594,000 (2017-Kshs. KShs. 2,927,926,000) and the number of ordinary shares in issue during the year of 1,951,467,045 (2017- 1,951,467,045)

There were no potentially dilutive shares as at 31 December 2018. Diluted earnings per share is therefore the same as basic earnings per share

10. PROPERTY, PLANT AND EQUIPMENT

	Freehold Land						Work in progress	
	and buildings	Transmission lines	Distribution lines	machinery	Motor vehicles	Furniture equipment		Tota
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
COST								
At 1st July 2018	8,551,278	30,375,238	233,085,476	731,414	7,008,973	44,579,305	27,197,531	351,529,215
Work in progress additions	-	-	-	-	-	-	10,575,854	10,575,854
Transfer to fixed assets	40,455	20,992	5,824,393	-	-	39,067	(5,924,907)	-
Disposals	-	-	(555,294)	-	(310,985)	-	-	(866,279)
At 31st Dec. 2018	<u>8,591,733</u>	<u>30,396,230</u>	<u>238,354,575</u>	<u>731,414</u>	<u>6,697,988</u>	<u>44,618,372</u>	<u>31,848,478</u>	<u>361,238,790</u>
DEPRECIATION								
At 1st July 2018	1,229,966	9,749,819	36,533,968	183,426	5,484,776	24,970,378	-	78,152,333
Charge for the period	122,104	473,644	4,166,390	16,371	182,418	2,738,794	-	7,699,721
Disposals	-	-	(218,366)	-	(279,004)	-	-	(497,370)
At 31st Dec. 2018	<u>1,352,070</u>	<u>10,223,463</u>	<u>40,481,992</u>	<u>199,797</u>	<u>5,388,190</u>	<u>27,709,172</u>	<u>-</u>	<u>85,354,684</u>
NET BOOK VALUE								
At 31st Dec. 2018	<u>7,239,663</u>	<u>20,172,767</u>	<u>197,872,583</u>	<u>531,617</u>	<u>1,309,798</u>	<u>16,909,200</u>	<u>31,848,478</u>	<u>275,884,106</u>
At 31st Dec. 2017	<u>5,742,297</u>	<u>11,006,310</u>	<u>174,563,135</u>	<u>513,945</u>	<u>1,648,080</u>	<u>17,697,258</u>	<u>59,922,300</u>	<u>271,086,822</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018 (continued)

11. PREPAID LEASES ON LAND

	31.12.2018	31.12.2017
	KShs'000	KShs'000
COST		
At 1 July	<u>879,292</u>	<u>870,718</u>
AMORTISATION		
At 1 July	65,869	2,255
Amortisation for the year	<u>31,807</u>	<u>28</u>
At 30 June	<u>97,676</u>	<u>2,283</u>
NET BOOK VALUE		
At 31 December	<u>781,596</u>	<u>868,435</u>

12. INTANGIBLE ASSETS-COMPUTER SOFTWARE

	31.12.2018	31.12.2017
	KShs'000	KShs'000
COST		
At 1 July	6,787,738	4,330,577
Additions	<u>777,968</u>	<u>1,306,850</u>
At 31 December	<u>7,565,706</u>	<u>5,637,427</u>
AMORTISATION		
At 1 July	(2,944,922)	(1,737,094)
Charge for the year	<u>(613,708)</u>	<u>(513,407)</u>
	<u>(3,558,630)</u>	<u>(2,250,501)</u>
At 31 December	<u>4,007,076</u>	<u>3,386,926</u>

13. INVENTORIES

Shs'000	31.12.2018	31.12.2017
	Shs'000	
General stores	4,803,344	4,702,726
conductors and Cables	1,774,088	1,670,701
Poles	522,712	764,005
Meters and accessories	443,622	576,775
Engineering spares	13,231	17,437
Fuel and oil	293,505	229,750
Transformers	2,341,041	2,049,688
Motor vehicle spares	<u>110,430</u>	<u>100,651</u>
	<u>10,301,973</u>	<u>10,111,733</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018 (continued))

14. TRADE AND OTHER RECEIVABLES

	31.12.2018	31.12.2017
	Shs'000	Shs'000
Electricity receivables	14,080,162	17,120,636
Prepayments	4,213,600	2,717,801
Due from Ketraco	1,425,441	8,667,754
Recoverable fuel cost	242,126	7,820,293
Rural Electrification Authority Current Account	248,564	170,096
VAT recoverable	1,508,630	2,519,718
Staff receivables	613,730	715,730
Stima Loan Deferred Payment Customers	261,224	296,278
GPOBA Prepaid debtors	159,163	404,139
Capital contribution receivable	-	1,790,157
Electricity Regulatory Commission levy	79,832	-
Rural Electrification Schemes- intercompany account	12,449,074	7,809,489
Receivable from Government of Kenya	1,677,684	3,362,487
Other receivables	<u>4,319,586</u>	<u>5,412,885</u>
	<u>41,278,816</u>	<u>58,807,463</u>

15. SHARE CAPITAL

Authorised and Issued

	31.12.2018		31.12.2017	
	Authorised	Issued and	Authorised	Issued and
	Shs'000	Shs'000	Shs'000	Shs'000
Ordinary stock units/shares	6,482,030	4,878,667	6,482,030	4,878,667
Of Sh 2.50 each				
7.85% Redeemable non- cumulative				
Preference shares of Sh 20 each	100,750	-	100,750	-
	<u>6,582,780</u>	<u>4,878,667</u>	<u>6,582,780</u>	<u>4,878,667</u>

16. Borrowings

	Currency	Interest rate	Start date	End date	2018 Shs'000	2017 Shs'000
Commercial borrowings						
Standard Chartered Bank Loan	USD	4.15% + Libor	6/19/2016	6/23/2026	33,752,434	36,131,095
Standard Chartered Bank Loan	Shs	CBR + 4%	6/17/2016	6/23/2023	13,662,000	15,180,000
Rand Merchant Bank Long Term Loan	USD	5.75% + Libor	6/30/2014	12/31/2021	5,941,022	8,430,589
Equity Bank USD Medium Term Loan	USD	4.75% + Libor	9/30/2014	9/30/2025	5,968,753	6,914,236
Stanbic Loan	Shs	11%	6/28/2017	6/28/2019	2,000,000	2,000,000
Stanbic Medium Term Loan	USD	5.25% + Libor	1/19/2014	12/31/2019	766,706	1,620,684
Rand Merchant Bank Medium Term Loan	USD	7.95%	3/26/2018	9/26/2024	7,129,227	-
GOK/Agence Francaise De development	EUR	2.5% + Libor	1/18/2017	12/31/2030	1,164,464	1,217,844
					70,384,606	71,494,448
On-lent borrowings						
GOK/JIDA Kenya Electricity Expansion Project	USD	3.00%	5/11/2011	3/1/2035	12,436,257	12,608,036
GOK/CHINA EXIM BANK (USD)	USD	3.00%	8/28/2014	8/28/2034	11,143,455	9,032,570
GOK/JIDA 3958 & 4572 KE ESRP	USD	4.50%	6/28/2005	6/1/2024	10,069,814	10,639,721
GOK/NORDEA	EUR	3.00%	12/15/2014	9/15/2026	2,792,076	2,506,754
GOK/EIB 23324 KE ESRP	EUR	3.97%	10/10/2007	7/20/2025	2,555,582	3,092,038
GOK/Agence Francaise de Development	EUR	4.50%	5/23/2007	3/30/2025	1,455,580	1,657,989
GOK/Nordic Development Fund 435 ESRP	EUR	4.50%	5/22/2007	9/15/2026	582,232	693,448
KPLC/AFD Revolving Fund Loan	EUR	2.70%	12/31/2014	7/31/2034	465,786	448,800
GOK/EIB – Olkaria Loan	EUR	4.00%	5/25/2005	11/25/2019	219,335	464,143
GOK/JIDA 5587 KE LOAN	USD	2.00%	2/27/2016	11/15/2052	771,437	191,408
GOK/JIDA 2966 KE loan	Shs	7.70%	6/30/2016	6/30/2019	188,349	188,349
GOK/IDA 5587 Grant	USD	4.50%	29/6/2015	30/6/2035	165,438	682,400
GOK/EXIMBANK Loan	JPY	2.50%	6/27/2008	1/31/2026	-	2,347,874
Japan Bank for International Cooperation Accrued interest	JPY	0.75%	6/27/2008	8/15/2043	-	1,046,553
					2,640,080	2,296,472
					45,485,421	47,896,555
Total borrowings						
					115,870,027	119,391,003

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018(continued)

16. Borrowings (continued)

	2018 Shs'000	201 Shs'00
Total borrowings	115,870,027	119,391,00
Less: amounts repayable within 12 months	(16,805,930)	(9,863,70(
Non-current	99,064,097	109,527,30

17. PREFERENCE SHARES

Authorised issues and fully paid:

350,000 - 7% cumulative preference shares of KShs 20 each	7,000	7,000
1,800,000 - 4% cumulative preference shares of KShs 20 each	36,000	36,000
	<u>43,000</u>	<u>43,000</u>

The preference shares are treated as financial liabilities because the Company has a contractual obligation to pay preference dividends on the shares.

18. RESERVES

	31.12.2018 Shs'000	31.12.2017 Shs'000
Retained earnings	<u>39,889,293</u>	<u>38,385,923</u>

19. TRADE AND OTHER PAYABLES

(a) Non current liabilities

	31.12.2018 Sh'000	31.12.2017 Sh'000
Customers' deposits	7,452,122	7,447,187
Capital contributions	3,768,073	1,740,021
Capital contribution-on-going projects	8,523,383	13,426,192
Donor Funded Revolving Fund	181,910	4,580,275
Rural Electrification Scheme Current Account- Capital	155,807	155,807
Deferred creditor(Fibre optic)	472,564	546,746
Ministry of Finance	-	328,140
Other payables and accruals	1,382,649	1,876,845
	<u>21,936,508</u>	<u>30,101,213</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018(continued)

(b) Current liabilities

The Kenya Electricity Generating Company Limited (KenGen)	17,612,413	21,794,879
Other electricity suppliers	14,411,383	12,405,220
Other Suppliers	18,669,309	13,955,899
Rural Electrification Scheme's current account	155,511	-
Rural Electrification Programme Levy	3,013,653	2,131,093
Electricity Regulatory Commission Levy	-	101,949
Nuclear Electricity Project	12,485	12,485
Ketraco wheeling charge	1,374,076	1,665,778
Street Lighting Project	1,242,872	3,996,194
Rural Electrification Scheme Current Account- Last Mile	6,345,939	4,752,910
Ministry of Finance	656,281	546,901
Other payables and accruals	<u>11,069,820</u>	<u>4,832,113</u>
	<u>74,563,742</u>	<u>66,195,421</u>

20. NOTES TO THE CASH FLOW STATEMENT

	31.12.2018	31.12.2017
	Sh'000	Sh'000
(a) Reconciliation of operating profit to Cash generated from operations		
Operating profit	7,655,509	7,773,336
Adjustments for:		
Depreciation	7,717,646	6,631,052
Amortisation	627,591	513,407
Loss on retirement of transformers	338,436	240,019
(Decrease/) increase in deferred income	(2,274,037)	(2,202,281)
Increase in provision for inventories	-	180,763
Increase in provision for receivables	2,466,000	-
Increase in inventories	(556,588)	(485,440)
(Increase in trade and other receivables	(2,738,466)	(7,524,785)
Unrealised foreign exchange losses/gain	806,535	(38,895)
Increase in trade and other payables	<u>2,726,816</u>	<u>9,041,055</u>
Cash generated from operations	<u>16,769,442</u>	<u>14,128,231</u>
(b) Analysis of changes in loans.		
At 1st July	113,029,384	122,016,122
Repayments	(6,110,936)	(4,273,499)
Receipts	7,659,863	1,917,680
Repayment of previous year's accrued interest	(2,154,880)	(2,592,205)
Unrealised foreign exchange loss	806,516	26,433
Accrued interest	<u>2,640,080</u>	<u>2,296,472</u>
At 31 st December	<u>115,870,027</u>	<u>119,391,003</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018(continued)

(c) Analysis of cash and cash equivalents

Short term deposits	599,501	614,165
Bank and cash balances	<u>2,945,386</u>	<u>3,032,009</u>
	3,544,887	3,646,174
Bank overdraft	(7,771,255)	(11,388,924)
	<u>(4,226,368)</u>	<u>(7,742,750)</u>

(d) Analysis of interest and dividend Paid

Interest paid

		31.12.2018	31.12.2017
		Sh'000	Shs'000
Interest on loans	6	3,466,496	2,629,943
Overdraft interest	6	<u>557,982</u>	<u>626,745</u>
		4,024,478	3,256,688
Interest on loans capitalised		-	677,228
Accrued interest brought forward		2,154,880	2,592,205
Accrued interest carried forward		<u>(2,640,080)</u>	<u>(2,296,472)</u>
Interest paid		<u>3,539,278</u>	<u>4,229,649</u>

Dividend paid

At 1 July	862,007	362,839
2018 final dividends declared	-	975,734
At 31 December	<u>(836,436)</u>	<u>(1,333,612)</u>
Dividends paid	<u>25,571</u>	<u>4,961</u>

(e) Purchase of Plant and Equipment

Additions to property and equipment	5,924,907	15,245,977
Additions to work in progress	4,650,947	(1,856,062)
Exchange (loss) gain on loans for on-going projects	-	154,331
Interest expense on loans capitalised	-	(677,228)
Property and equipment purchased	<u>10,575,854</u>	<u>12,867,018</u>

THE KENYA POWER & LIGHTING COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS FOR THE SIX MONTHS PERIOD
ENDED 31ST DECEMBER 2018(continued)

(f) Analysis of interest received

		31.12.2018 Sh'000	31.12.2017 Shs'000
Interest received on bank and other deposits	6	63,115	52,279
Accrued interest brought forward		2,524	11,087
Accrued interest carried forward		(16,349)	(14,961)
Interest received		<u>49,290</u>	<u>48,405</u>

(g) Proceeds of disposal of property and equipment

Proceeds of disposal of property and equipment	30,473	15,029
Less: disposed assets at net book value	(368,909)	(255,047)
Loss on disposal of property and equipment	<u>338,436</u>	<u>240,018</u>

